

Module 1: Introduction to Sustainability and Reporting Frameworks - I

Q.1 Meaning and Evolution of Sustainability

Concept

Sustainability refers to meeting the needs of the present generation without compromising the ability of future generations to meet their own needs (as defined by the Brundtland Commission).

In simple words, sustainability means using resources responsibly today so that they remain available for people in the future.

Example: A company that uses renewable energy in its factories instead of depleting fossil fuels is practising sustainability.

Evolution of Sustainability

1. Early Environmental Concerns (1960s-1970s)

Growing awareness of pollution and resource depletion led to early environmental movements and the first UN Conference on the Human Environment (Stockholm, 1972).

2. Brundtland Report (1987)

The United Nations World Commission on Environment and Development published "Our Common Future," which gave the widely accepted definition of sustainable development.

3. Earth Summit / Rio Declaration (1992)

The UN Conference on Environment and Development in Rio de Janeiro led to Agenda 21 and highlighted the link between environment and development.

4. Millennium Development Goals (2000-2015)

The UN adopted eight MDGs to address poverty, education, and health, laying groundwork for later, broader sustainability goals.

5. Sustainable Development Goals (2015-Present)

The UN adopted 17 SDGs as a universal call to action to end poverty, protect the planet, and ensure prosperity for all by 2030.

6. Corporate Sustainability and ESG Integration (2010s-Present)

Businesses increasingly began integrating sustainability into their core strategy, moving from voluntary CSR to structured ESG reporting and regulation.

Conclusion

Thus, sustainability has evolved from an environmental concern in the 1960s to a globally integrated framework covering economic, social and environmental

dimensions, with businesses now playing a central role in achieving sustainable development.

Q.2. Sustainability in Business and Corporate Responsibility

Concept

Sustainability in business refers to the practice of conducting business operations in a way that meets present economic needs while minimizing negative environmental and social impacts, ensuring long-term viability.

In simple words, sustainability in business means running a company profitably while also protecting the environment and caring for society.

Example: A textile company investing in water-recycling technology to reduce its environmental footprint while continuing to grow its business.

Aspects of Corporate Responsibility Towards Sustainability

1. Economic Responsibility

Businesses must remain profitable and financially sustainable, since this is the foundation for fulfilling other responsibilities.

2. Environmental Responsibility

Businesses must minimize pollution, conserve natural resources, and reduce their carbon footprint through cleaner production processes.

3. Social Responsibility

Businesses must treat employees fairly, contribute to community welfare, and respect human rights across their operations.

4. Legal and Ethical Responsibility

Businesses must comply with laws and regulations while also following ethical practices that go beyond mere legal compliance.

5. Stakeholder Responsibility

Businesses must consider the interests of all stakeholders – including employees, customers, investors, suppliers, and the community – not just shareholders.

6. Transparency and Accountability

Businesses must disclose their sustainability performance honestly through reports, allowing stakeholders to hold them accountable.

Conclusion

Thus, sustainability in business requires companies to balance economic performance with environmental and social responsibility, integrating corporate responsibility into their core strategy rather than treating it as a separate activity.

Q.3 Triple Bottom Line - People, Planet & Profit

Concept

The Triple Bottom Line (TBL) is a framework that measures a company's success not only by its financial profit, but also by its social impact (People) and environmental impact (Planet).

In simple words, Triple Bottom Line means a business should be judged on three things - how it treats people, how it treats the planet, and how much profit it makes - not profit alone.

Example: A coffee company that pays fair wages to farmers (People), uses biodegradable packaging (Planet), and remains profitable (Profit) is following the Triple Bottom Line approach.

The Three Pillars of Triple Bottom Line

1. People (Social Bottom Line)

This pillar focuses on the company's impact on employees, customers, and communities, including fair wages, safe working conditions, diversity, and community development.

2. Planet (Environmental Bottom Line)

This pillar focuses on the company's environmental impact, including resource use, pollution, waste management, and efforts to reduce its carbon footprint.

3. Profit (Economic Bottom Line)

This pillar focuses on the company's financial performance and its economic contribution to stakeholders, but within the context of also protecting people and the planet.

Importance of the Triple Bottom Line

1. Encourages Balanced Decision-Making

It ensures that companies do not pursue profit at the cost of people or the environment, encouraging holistic decision-making.

2. Improves Long-Term Sustainability

By considering social and environmental factors, businesses reduce risks and build resilience for long-term success.

3. Builds Stakeholder Trust

Reporting on all three dimensions builds greater trust and credibility with investors, customers, and regulators.

4. Attracts Responsible Investment

Investors increasingly prefer companies that perform well on all three bottom lines, since it indicates lower risk and more sustainable growth.

Conclusion

Thus, the Triple Bottom Line framework encourages businesses to measure success holistically across People, Planet, and Profit, promoting sustainable and responsible growth rather than short-term financial gain alone.

Q.4 ESG Concepts and their Relevance to Accounting and Finance

Concept

ESG stands for Environmental, Social, and Governance – a set of criteria used to evaluate a company's non-financial performance and its impact on sustainability, ethics, and stakeholder relationships.

In simple words, ESG means looking beyond just profit to also judge a company on how it treats the environment, people, and how well it is governed.

Example: An investor examining a company's carbon emissions (Environmental), employee diversity (Social), and board independence (Governance) before deciding to invest is using ESG criteria.

The Three Pillars of ESG

1. Environmental

This covers a company's impact on the natural environment, including carbon emissions, energy use, waste management, and resource conservation.

2. Social

This covers a company's relationships with employees, customers, suppliers, and communities, including labour practices, diversity, and human rights.

3. Governance

This covers how a company is directed and controlled, including board structure, executive pay, shareholder rights, and business ethics.

Relevance of ESG to Accounting and Finance

1. Non-Financial Reporting

ESG requires accountants to measure and report non-financial data alongside traditional financial statements, expanding the scope of corporate reporting.

2. Risk Assessment

ESG factors help identify risks, such as regulatory or reputational risks, that could impact a company's long-term financial performance.

3. Investment Decision-Making

Investors and analysts increasingly use ESG data alongside financial data to **assess the true value and risk** of an investment.

4. Access to Capital

Companies with strong ESG performance often find it **easier to raise funds**, as many investors and lenders now favour ESG-compliant companies.

5. Integrated Reporting

ESG has pushed the accounting profession towards **integrated reporting**, which combines financial and non-financial performance into a single report.

Conclusion

Thus, ESG has become highly relevant to accounting and finance, as it **expands corporate reporting beyond profit figures**, and increasingly influences investment decisions, risk assessment, and access to capital.

Q.5 United Nations Sustainable Development Goals (SDGs)

Concept

The **Sustainable Development Goals (SDGs)** are a set of 17 global goals adopted by the United Nations in 2015, aimed at ending poverty, protecting the planet, and ensuring peace and prosperity for all people by 2030.

In simple words, the **SDGs** are a **shared global to-do list of 17 goals** that countries and businesses are working towards to make the world more fair and sustainable by 2030.

Example: A company reducing plastic waste in its packaging is contributing to SDG 12 (Responsible Consumption and Production).

Key Features of the SDGs

1. Universal Applicability

The SDGs apply to all **countries** — developed and developing — unlike earlier goals that focused mainly on developing nations.

2. 17 Interconnected Goals

The 17 goals cover a wide range of issues, including **poverty, hunger, health, education, gender equality, clean water, climate action, and economic growth**.

3. 2030 Target Timeline

All 17 goals are meant to be achieved by the **year 2030**, giving countries and organisations a clear timeframe.

4. Measurable Targets and Indicators

Each goal has specific targets and indicators, allowing progress to be tracked and measured over time.

5. Role of Businesses

Businesses are expected to align their strategies and operations with relevant SDGs, contributing through responsible practices, innovation, and investment.

6. Multi-Stakeholder Collaboration

Achieving the SDGs requires collaboration between governments, businesses, civil society, and individuals, not governments alone.

Conclusion

Thus, the SDGs provide a comprehensive and universal framework guiding global efforts towards sustainable development, with businesses playing a critical role in achieving these goals by 2030 through responsible and innovative practices.

Q.6 National Guidelines on Responsible Business Conduct (NGRBC)

Concept

The National Guidelines on Responsible Business Conduct (NGRBC) are a set of nine principles issued by the Ministry of Corporate Affairs, Government of India, in 2019, to guide businesses in conducting their operations responsibly and sustainably.

In simple words, NGRBC is a set of nine simple rules of good conduct that Indian businesses are encouraged to follow to be ethical, sustainable, and responsible.

Example: A company following NGRBC Principle 6 would take active steps to reduce pollution and restore the environment around its factories.

The Nine Principles of NGRBC

1. Ethics, Transparency and Accountability

Businesses should conduct and govern themselves with integrity, in a manner that is ethical, transparent, and accountable.

2. Sustainable and Safe Goods and Services

Businesses should provide goods and services in a manner that is sustainable and safe throughout their life cycle.

3. Employee Well-Being

Businesses should respect and promote the well-being of all employees, including those in their value chains.

4. Stakeholder Responsiveness

Businesses should respect the interests of and be responsive to all their stakeholders.

5. Human Rights

Businesses should **respect and promote human rights**.

6. Environmental Protection

Businesses should respect and make efforts to **protect and restore the environment**.

7. Responsible Policy Advocacy

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is **responsible and transparent**.

8. Inclusive Growth

Businesses should promote **inclusive growth and equitable development**.

9. Consumer Value

Businesses should engage with and provide **value to their consumers** in a responsible manner.

Conclusion

Thus, the nine principles of NGRBC provide Indian businesses with a **comprehensive framework for responsible conduct**, covering ethics, sustainability, employees, stakeholders, human rights, environment, policy advocacy, inclusive growth, and consumer value, and they form the foundation of India's BRSR reporting framework.

Q.7 Need and Benefits of Sustainability Reporting

Concept

Sustainability Reporting refers to the practice of a company disclosing its economic, environmental, and social performance to its stakeholders, in addition to its financial performance.

In simple words, **sustainability reporting** means a company publicly sharing **information about its environmental and social impact, not just its profits**.

Example: A company publishing an annual report that includes its carbon emissions data and community welfare initiatives alongside its financial statements.

Need for Sustainability Reporting

1. Growing Investor Demand

Investors increasingly want **ESG information** to assess risks and make informed investment decisions.

2. Regulatory Requirements

Regulators such as SEBI now **mandate sustainability disclosures** (like BRSR) for large listed companies in India.

3. Stakeholder Expectations

Customers, employees, and communities increasingly expect businesses to be transparent about their social and environmental impact.

4. Rising Environmental and Social Risks

Climate change and social issues pose real risks to businesses, making it necessary to measure and disclose how these risks are managed.

Benefits of Sustainability Reporting

1. Builds Trust and Credibility

Transparent reporting builds trust among investors, customers, and other stakeholders.

2. Improves Risk Management

The reporting process helps a company identify and manage environmental and social risks more effectively.

3. Enhances Brand Reputation

Companies known for strong sustainability performance often enjoy a stronger, more positive brand image.

4. Attracts Investment

Companies with good sustainability disclosures often find it easier to attract responsible/ESG-focused investors.

5. Drives Internal Improvement

The process of measuring and reporting sustainability performance often leads companies to identify areas for improvement internally.

Conclusion

Thus, sustainability reporting is driven by growing investor demand, regulatory requirements, and stakeholder expectations, and it benefits companies by building trust, improving risk management, and enhancing their reputation and access to investment.